

STATE OF NEW YORK

5546--A

2025-2026 Regular Sessions

IN SENATE

February 24, 2025

Introduced by Sens. HOYLMAN-SIGAL, CLEARE, GOUNARDES -- read twice and ordered printed, and when printed to be committed to the Committee on Judiciary -- committee discharged, bill amended, ordered reprinted as amended and recommitted to said committee

AN ACT to amend the civil practice law and rules, the New York city civil court act, the judiciary law, the uniform city court act, the uniform district court act and the uniform justice court act, in relation to redefining consumer credit transaction to consumer debt

The People of the State of New York, represented in Senate and Assembly, do enact as follows:

1 Section 1. Section 105 of the civil practice law and rules is amended
2 by adding a new subdivision (f-1) to read as follows:

3 (f-1) Consumer debt. The term "consumer debt" means any obligation or
4 alleged obligation, whether contingent or absolute, of any natural
5 person to pay money arising out of a transaction in which the money,
6 property, insurance or services which are the subject of the transaction
7 are primarily for personal, family or household purposes, whether or not
8 such obligation has been reduced to judgment, including, but not limited
9 to, a consumer credit transaction, as defined in subdivision (f) of this
10 section and medical debt, as referenced in section two hundred thir-
11 teen-d of this chapter. "Consumer debt" shall not include consumer debt
12 secured by real property, nor shall it include rent arrears that are the
13 subject of a summary proceeding to recover possession of real property
14 under article seven of the real property actions and proceedings law.

15 § 2. Subdivision (a) of section 301 of the New York city civil court
16 act, as amended by chapter 238 of the laws of 1973, is amended to read
17 as follows:

18 (a) in an action arising out of a [~~consumer credit transaction~~]
19 consumer debt where a purchaser, borrower, or a debtor is a defendant,
20 if a defendant resides in the city of New York, or if such transaction
21 took place therein, in the county in which a defendant resides at the

EXPLANATION--Matter in italics (underscoring) is new; matter in brackets
[-] is old law to be omitted.

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1 commencement thereof or in the county in which such transaction took
2 place, and in all other cases, in the county in which one of the parties
3 resides at the commencement thereof; or

4 § 3. Subdivision (d) of section 401 of the New York city civil court
5 act, as added by chapter 302 of the laws of 1970, is amended to read as
6 follows:

7 (d) The summons served in an action arising from a [~~consumer credit~~
8 ~~transaction~~] consumer debt must be printed legibly in both Spanish and
9 English.

10 § 4. Subdivisions (b-1) and (n) of section 1911 of the New York city
11 civil court act, as added by section 3 of part K of chapter 56 of the
12 laws of 2010, are amended to read as follows:

13 (b-1) Upon filing the first paper in an action or proceeding arising
14 out of a [~~consumer credit transaction~~] consumer debt as defined in
15 subdivision [~~(f)~~] (f-1) of section one hundred five of the civil prac-
16 tice law and rules, an additional ninety-five dollars.

17 (n) Upon the filing of a judgment by a plaintiff on or after September
18 first, two thousand ten in an action or proceeding arising out of a
19 [~~consumer credit transaction~~] consumer debt as defined in subdivision
20 [~~(f)~~] (f-1) of section one hundred five of the civil practice law and
21 rules, ninety-five dollars, provided such action or proceeding was
22 commenced prior to such date and no additional fee was paid therein
23 pursuant to subdivision (b-1) of this section.

24 § 5. Section 2101 of the New York city civil court act is amended by
25 adding a new subdivision (h) to read as follows:

26 (h) "Consumer debt" means any obligation or alleged obligation, wheth-
27 er contingent or absolute, of any natural person to pay money arising
28 out of a transaction in which the money, property, insurance or services
29 which are the subject of the transaction are primarily for personal,
30 family or household purposes, whether or not such obligation has been
31 reduced to judgment, including but not limited to, a consumer credit
32 transaction, as defined in subdivision (g) of this section. "Consumer
33 debt" shall not include consumer debt secured by real property.

34 § 6. Section 214-i of the civil practice law and rules, as added by
35 chapter 593 of the laws of 2021, is amended to read as follows:

36 § 214-i. Certain actions arising out of [~~consumer credit transactions~~]
37 consumer debt to be commenced within three years. An action arising out
38 of a [~~consumer credit transaction~~] consumer debt where a purchaser,
39 borrower or debtor is a defendant must be commenced within three years,
40 except as provided in section two hundred thirteen-a of this article or
41 article 2 of the uniform commercial code or article 36-B of the general
42 business law. Notwithstanding any other provision of law, when the
43 applicable limitations period expires, any subsequent payment toward,
44 written or oral affirmation of or other activity on the debt does not
45 revive or extend the limitations period.

46 § 7. Subdivision (a) of rule 305 of the civil practice law and rules,
47 as amended by chapter 39 of the laws of 1996, is amended to read as
48 follows:

49 (a) Summons; supplemental summons. A summons shall specify the basis
50 of the venue designated and if based upon the residence of the plaintiff
51 it shall specify the plaintiff's address, and also shall bear the index
52 number assigned and the date of filing with the clerk of the court. A
53 third-party summons shall also specify the date of filing of the third-
54 party summons with the clerk of the court. The summons in an action
55 arising out of a [~~consumer credit transaction~~] consumer debt shall prom-
56 inently display at the top of the summons the words [~~"consumer credit~~

1 ~~transaction"]~~ "consumer debt" and, where a purchaser, borrower or debtor
2 is a defendant, shall specify the county of residence of a defendant, if
3 one resides within the state, and the county where the ~~[consumer credit~~
4 ~~transaction]~~ transaction from which the consumer debt arose took place,
5 if it is within the state. Where, upon order of the court or by stipu-
6 lation of all parties or as of right pursuant to section 1003, a new
7 party is joined in the action and the joinder is not made upon the new
8 party's motion, a supplemental summons specifying the pleading which the
9 new party must answer shall be filed with the clerk of the court and
10 served upon such party.

11 § 8. The section heading and the opening paragraph of subdivision (a)
12 of section 306-d of the civil practice law and rules, as added by chap-
13 ter 593 of the laws of 2021, are amended to read as follows:

14 Additional mailing of notice in ~~[an action arising out of a consumer~~
15 ~~credit transaction]~~ a consumer debt action.

16 At the time of filing with the clerk of the proof of service of the
17 summons and complaint in an action arising out of a ~~[consumer credit~~
18 ~~transaction]~~ consumer debt, the plaintiff shall submit to the clerk a
19 stamped, unsealed envelope addressed to the defendant together with a
20 written notice in clear type of no less than twelve-point in size, in
21 both English and Spanish, and containing the following language:

22 § 9. Subdivision (f) of section 503 of the civil practice law and
23 rules, as added by chapter 238 of the laws of 1973, is amended to read
24 as follows:

25 (f) ~~[Consumer credit transaction]~~ Consumer debt. In an action arising
26 out of a ~~[consumer credit transaction]~~ consumer debt where a purchaser,
27 borrower or debtor is a defendant, the place of trial shall be the resi-
28 dence of a defendant, if one resides within the state or the county
29 where such transaction took place, if it is within the state, or, in
30 other cases, as set forth in subdivision (a).

31 § 10. The section heading and subdivision (a) of section 513 of the
32 civil practice law and rules, as added by chapter 238 of the laws of
33 1973, are amended to read as follows:

34 Misplacement of venue in ~~[consumer credit transactions]~~ consumer debt
35 actions. (a) In an action arising out of a ~~[consumer credit transaction]~~
36 consumer debt, the clerk shall not accept a summons for filing when it
37 appears upon its face that the proper venue is a county other than the
38 county where such summons is offered for filing.

39 § 11. Subdivision (b) of section 601 of the civil practice law and
40 rules, as added by chapter 602 of the laws of 1996, is amended to read
41 as follows:

42 (b) Two or more plaintiffs may join no more than five claims in any
43 one action or proceeding against the same defendant arising out of sepa-
44 rate ~~[consumer credit transactions]~~ consumer debts, provided that the
45 plaintiffs are represented by the same attorney.

46 § 12. Subdivision (a) of section 3012 of the civil practice law and
47 rules, as amended by chapter 593 of the laws of 2021, is amended to read
48 as follows:

49 (a) Service of pleadings. The complaint may be served with the
50 summons, except that in an action arising out of a ~~[consumer credit~~
51 ~~transaction]~~ consumer debt, the complaint shall be served with the
52 summons. A subsequent pleading asserting new or additional claims for
53 relief shall be served upon a party who has not appeared in the manner
54 provided for service of a summons. In any other case, a pleading shall
55 be served in the manner provided for service of papers generally.

1 Service of an answer or reply shall be made within twenty days after
2 service of the pleading to which it responds.

3 § 13. Subdivision (j) of rule 3016 of the civil practice law and
4 rules, as added by chapter 593 of the laws of 2021, is amended to read
5 as follows:

6 (j) [~~Consumer credit transactions~~] Consumer debts. In an action arising out of a [~~consumer credit transaction~~] consumer debt where a
7 purchaser, borrower or debtor is a defendant, the contract or other
8 written instrument establishing the consumer debt on which the action is
9 based shall be attached to the complaint, however, for the purposes of
10 this section, if the account was a revolving credit account, the charge-off statement may be attached to the complaint instead of the contract
11 or other written instrument~~[, and]~~. For all actions arising out of a
12 consumer debt, the following information shall be set forth in the
13 complaint:
14

15 (1) The name of the original creditor;

16 (2) The last four digits of the account number printed on the most
17 recent [~~monthly~~] statement recording a purchase or service transaction,
18 last payment or balance transfer, or other unique identifying information associated with the consumer debt where no account number exists;

19 (3) The date [~~and~~], amount, and recipient of the last payment or, if
20 no payment was made, a statement that the purchaser, borrower or debtor
21 made no payment on the account;

22 (4) If the complaint contains a cause of action based on an account
23 stated, the date on or about which the final statement of account was
24 provided to the defendant;

25 (5) (A) Except as provided in subparagraph (B) of this paragraph, an
26 itemization of the amount sought, by (i) principal; (ii) finance charge
27 or charges; (iii) fees imposed by the original creditor; (iv) collection
28 costs; (v) attorney's fees; (vi) interest; and (vii) any other fees and
29 charges~~[, and]~~;

30 (B) If the account was a revolving credit account, an itemization of
31 the amount sought, by: (i) the total amount of the debt due as of
32 charge-off; (ii) the total amount of interest accrued since charge-off;
33 (iii) the total amount of non-interest charges or fees accrued since
34 charge-off; and (iv) the total amount of payments and/or credits made on
35 the debt since charge-off;

36 (6) The account balance printed on the most recent [~~monthly~~] statement
37 recording a purchase or service transaction, last payment or balance
38 transfer;

39 (7) (A) Whether the plaintiff is the original creditor~~[, and]~~;

40 (B) If the plaintiff is not the original creditor, the complaint shall
41 also state (i) the date on which the debt was sold or assigned to the
42 plaintiff; (ii) the name of each previous owner of the account from the
43 original creditor to the plaintiff and the date on which the debt was
44 assigned to that owner by the original creditor or subsequent owner; and
45 (iii) the amount due at the time of the sale or assignment of the debt
46 by the original creditor; and

47 (8) Any matters required to be stated with particularity pursuant to
48 rule 3015 of this article.

49 § 14. Subdivision (e) of rule 3211 of the civil practice law and
50 rules, as amended by chapter 593 of the laws of 2021, is amended to read
51 as follows:

52 (e) Number, time and waiver of objections; motion to plead over. At
53 any time before service of the responsive pleading is required, a party
54 may move on one or more of the grounds set forth in subdivision (a) of
55

1 this rule, and no more than one such motion shall be permitted. Any
2 objection or defense based upon a ground set forth in paragraphs one,
3 three, four, five and six of subdivision (a) of this rule is waived
4 unless raised either by such motion or in the responsive pleading. A
5 motion based upon a ground specified in paragraph two, seven or ten of
6 subdivision (a) of this rule may be made at any subsequent time or in a
7 later pleading, if one is permitted; an objection that the summons and
8 complaint, summons with notice, or notice of petition and petition was
9 not properly served is waived if, having raised such an objection in a
10 pleading, the objecting party does not move for judgment on that ground
11 within sixty days after serving the pleading, unless the court extends
12 the time upon the ground of undue hardship. The foregoing sentence shall
13 not apply in any proceeding to collect a debt arising out of a [~~consumer~~
14 ~~credit transaction~~] consumer debt where a consumer is a defendant or
15 under subdivision one or two of section seven hundred eleven of the real
16 property actions and proceedings law. The papers in opposition to a
17 motion based on improper service shall contain a copy of the proof of
18 service, whether or not previously filed. An objection based upon a
19 ground specified in paragraph eight or nine of subdivision (a) of this
20 rule is waived if a party moves on any of the grounds set forth in
21 subdivision (a) of this rule without raising such objection or if,
22 having made no objection under subdivision (a) of this rule, [~~he or she~~
23 such party] does not raise such objection in the responsive pleading
24 which, in any action to collect a debt arising out of a [~~consumer credit~~
25 ~~transaction~~] consumer debt where a consumer is a defendant, includes any
26 amended responsive pleading.

27 § 15. The opening paragraph, the opening paragraph of paragraph 1 and
28 paragraph 3 of subdivision (j) of rule 3212 of the civil practice law
29 and rules, as added by chapter 593 of the laws of 2021, are amended to
30 read as follows:

31 Additional notice in any action to collect a [~~debt arising out of a~~
32 ~~consumer credit transaction~~] consumer debt where a consumer is a defend-
33 ant.

34 At the time of service of a notice of motion any part of which
35 requests summary judgment in whole or in part, where the moving party is
36 a plaintiff and the respondent is a consumer defendant in [~~an~~] a consum-
37 er debt action [~~to collect a debt arising out of a consumer credit tran-~~
38 ~~saction~~], and where the consumer defendant against whom summary judgment
39 is sought is not represented by an attorney, the plaintiff shall submit
40 to the clerk a stamped, unsealed envelope addressed to the defendant
41 together with the following additional notice in English and Spanish to
42 be printed in clear type no less than twelve-point in size:

43 3. The chief administrative judge shall issue a Spanish translation of
44 the notice in paragraph one of this subdivision and shall maintain and
45 publish the URL address for the web page containing consumer [~~credit~~
46 debt] resources for unrepresented litigants.

47 § 16. Section 3213 of the civil practice law and rules, as amended by
48 chapter 593 of the laws of 2021, is amended to read as follows:

49 § 3213. Motion for summary judgment in lieu of complaint. When an
50 action is based upon an instrument for the payment of money only or upon
51 any judgment, the plaintiff may serve with the summons a notice of
52 motion for summary judgment and the supporting papers in lieu of a
53 complaint. The summons served with such motion papers shall require the
54 defendant to submit answering papers on the motion within the time
55 provided in the notice of motion. The minimum time such motion shall be
56 noticed to be heard shall be as provided by subdivision (a) of rule 320

1 for making an appearance, depending upon the method of service. If the
2 plaintiff sets the hearing date of the motion later than the minimum
3 time therefor, ~~[he]~~ such plaintiff may require the defendant to serve a
4 copy of ~~[his]~~ their answering papers upon ~~[him]~~ such plaintiff within
5 such extended period of time, not exceeding ten days, prior to such
6 hearing date. No default judgment may be entered pursuant to subdivision
7 (a) of section 3215 prior to the hearing date of the motion. If the
8 motion is denied, the moving and answering papers shall be deemed the
9 complaint and answer, respectively, unless the court orders otherwise.
10 The additional notice required by subdivision (j) of rule 3212 shall be
11 applicable to a motion made pursuant to this section in any action to
12 collect a ~~[debt arising out of a consumer credit transaction]~~ consumer
13 debt where a consumer is a defendant.

14 § 17. Subdivisions (f) and (j) of section 3215 of the civil practice
15 law and rules, as amended by section 1 of subpart A of part Y of chapter
16 57 of the laws of 2023, are amended to read as follows:

17 (f) Proof. On any application for judgment by default, the applicant
18 shall file proof of service of the summons and the complaint, or a
19 summons and notice served pursuant to subdivision (b) of rule 305 or
20 subdivision (a) of rule 316 of this chapter, and proof of the facts
21 constituting the claim, the default and the amount due, including, if
22 applicable, a statement that the interest rate for consumer debt pursu-
23 ant to section five thousand four of this chapter applies, by affidavit
24 made by the party, or where the state of New York is the plaintiff, by
25 affidavit made by an attorney from the office of the attorney general
26 who has or obtains knowledge of such facts through review of state
27 records or otherwise. Where a verified complaint has been served, it may
28 be used as the affidavit of the facts constituting the claim and the
29 amount due; in such case, an affidavit as to the default shall be made
30 by the party or the party's attorney. In an action arising out of a
31 ~~[consumer credit transaction]~~ consumer debt, if the plaintiff is not the
32 original creditor, the applicant shall include: (1) an affidavit by the
33 original creditor of the facts constituting the debt, the default in
34 payment, the sale or assignment of the debt, and the amount due at the
35 time of sale or assignment; (2) for each subsequent assignment or sale
36 of the debt to another entity, an affidavit of sale of the debt by the
37 debt seller, completed by the seller or assignor; and (3) an affidavit
38 of a witness of the plaintiff, which includes a chain of title of the
39 debt, completed by the plaintiff or plaintiff's witness. In an action
40 arising from medical debt, if the plaintiff is not a hospital licensed
41 under article twenty-eight of the public health law or a health care
42 professional authorized under title eight of the education law, the
43 applicant shall include: (1) an affidavit by the hospital or health care
44 professional of the facts constituting the medical debt, the default in
45 payment, the sale or assignment of the medical debt, and the amount due
46 at the time of sale or assignment; (2) for each subsequent assignment or
47 sale of the medical debt to another entity, an affidavit of sale of the
48 medical debt by the debt seller, completed by the seller or assignor;
49 and (3) an affidavit of a witness of the plaintiff, which includes a
50 chain of title of the medical debt, completed by the plaintiff or
51 plaintiff's witness. The chief administrative judge shall issue form
52 affidavits to satisfy the requirements of this subdivision for ~~[consumer~~
53 ~~credit transactions]~~ consumer debt and actions arising from medical
54 debt. When jurisdiction is based on an attachment of property, the affi-
55 davit must state that an order of attachment granted in the action has
56 been levied on the property of the defendant, describe the property and

1 state its value. Proof of mailing the notice required by subdivision (g)
2 of this section, where applicable, shall also be filed.

3 (j) Affidavit. A request for a default judgment entered by the clerk,
4 must be accompanied by an affidavit by the plaintiff or plaintiff's
5 attorney stating that after reasonable inquiry, ~~[he or she]~~ such plain-
6 tiff or plaintiff's attorney has reason to believe that the statute of
7 limitations has not expired. The chief administrative judge shall issue
8 form affidavits to satisfy the requirements of this subdivision for
9 ~~[consumer credit transactions]~~ consumer debts and actions arising from
10 medical debt.

11 § 18. Subdivision (b) of section 5004 of the civil practice law and
12 rules, as amended by chapter 831 of the laws of 2021, is amended to read
13 as follows:

14 (b) For the purpose of this section "consumer debt" means any obli-
15 gation or alleged obligation, whether contingent or absolute, of any
16 natural person to pay money arising out of a transaction in which the
17 money, property, insurance or services which are the subject of the
18 transaction are primarily for personal, family or household purposes,
19 whether or not such obligation has been reduced to judgment, including,
20 but not limited to, a consumer credit transaction, as defined in subdi-
21 vision (f) of section one hundred five of this chapter and medical debt
22 as referenced in section two hundred thirteen-d of this chapter.

23 § 19. Section 7516 of the civil practice law and rules, as added by
24 chapter 593 of the laws of 2021, is amended to read as follows:

25 § 7516. Confirmation of an award based on a ~~[consumer credit trans-~~
26 ~~action]~~ consumer debt. In any proceeding under section 7510 of this
27 article to confirm an award based on a ~~[consumer credit transaction]~~
28 consumer debt, the party seeking to confirm the award shall plead the
29 actual terms and conditions of the agreement to arbitrate. The party
30 shall attach to its petition (a) the agreement to arbitrate; (b) the
31 demand for arbitration or notice of intention to arbitrate, with proof
32 of service; and (c) the arbitration award, with proof of service. If the
33 award does not contain a statement of the claims submitted for arbi-
34 tration, of the claims ruled upon by the arbitrator, and of the calcu-
35 lation of figures used by the arbitrator in arriving at the award, then
36 the petition shall contain such a statement. The court shall not grant
37 confirmation of an award based on a ~~[consumer credit transaction]~~
38 consumer debt unless the party seeking to confirm the award has complied
39 with this section.

40 § 20. Paragraph (aa) of subdivision 2 of section 212 of the judiciary
41 law, as added by chapter 593 of the laws of 2021, is amended to read as
42 follows:

43 (aa) Not later than January first, two thousand twenty-two, make
44 available Spanish translations of the additional notices in ~~[consumer~~
45 ~~credit transaction]~~ consumer debt actions and proceedings required by
46 section 306-d and subdivision (j) of rule 3212 of the civil practice law
47 and rules, and make available form affidavits required for a motion for
48 default judgment in a ~~[consumer credit transaction]~~ consumer debt action
49 or proceeding required by subdivision (f) of section 3215 of the civil
50 practice law and rules.

51 § 21. Paragraph 1-a of subdivision (a) of section 1911 of the uniform
52 city court act, as added by section 2 of part K of chapter 56 of the
53 laws of 2010, is amended to read as follows:

54 (1-a) Upon filing the first paper in an action or proceeding arising
55 out of a ~~[consumer credit transaction]~~ consumer debt as defined in

1 subdivision [~~(f)~~] (f-1) of section one hundred five of the civil prac-
2 tice law and rules, an ~~[addition]~~ additional ninety-five dollars.

3 § 22. Paragraph 2-a of subdivision (a) of section 1911 of the uniform
4 district court act, as added by section 1 of part K of chapter 56 of the
5 laws of 2010, is amended to read as follows:

6 (2-a) Upon filing the first paper in an action or proceeding arising
7 out of a ~~[consumer credit transaction]~~ consumer debt as defined in
8 subdivision [~~(f)~~] (f-1) of section one hundred five of the civil prac-
9 tice law and rules, an additional ninety-five dollars.

10 § 23. Paragraph 1 of subdivision (a) of section 1911 of the uniform
11 justice court act is amended by adding a new subparagraph a-1 to read as
12 follows:

13 a-1. Upon filing the first paper in an action or proceeding arising
14 out of a consumer debt as defined in subdivision (f-1) of section one
15 hundred five of the civil practice law and rules, an additional ninety-
16 five dollars.

17 § 24. Within six months of the effective date of this act, all court
18 rules and forms relating to actions arising from consumer credit trans-
19 actions, as defined in subdivision (f) of section 105 of the civil prac-
20 tice law and rules, in New York state shall be revised to amend the term
21 "consumer credit transaction" to "consumer debt", as that term is now
22 defined in subdivision (f-1) of section 105 of the civil practice law
23 and rules. The chief administrator of the courts shall oversee this
24 process, which shall include, but not be limited to, amendments to New
25 York Court Rules sections 202.5 (e)(4), 202.5-bb(a)(2)(vi), 202.27-a(1),
26 202.27-a(b), 202.27-a(e), 202.27-b, 208.4(b)(4), 208.6(d), 208.14-a(1),
27 208.14-a(b), 208.14-a(e), 210.14-b, 210.4(b)(4), 212.14-a(1),
28 212.14-(a)(b), 212.14-a(e), 212.14-b, 212.4(b)(4), 214.12(4).

29 § 25. This act shall take effect on the ninetieth day after it shall
30 have become a law. Effective immediately, the addition, amendment and/or
31 repeal of any rule or regulation necessary for the implementation of
32 this act on its effective date are authorized to be made and completed
33 on or before such effective date.